INVOICE RECONCILIATION POLICY DOCUMENT

For Enterprise Service Contracts & Vendor Payment Authorization

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Date: January 2024
Applicable To: Service Provider Invoice Reconciliation, Payment Authorization, and Financial Controls
Reference Documents: MSA-TCS-STC-2024-001, SOW-TCS-STC-DM-2024-001, PO-STC-IT-2024-0047, PR-STC-IT-2024-0023

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1. INTRODUCTION & PURPOSE

This Invoice Reconciliation Policy establishes comprehensive guidelines, approval authorities, and financial controls for processing, validating, and authorizing vendor invoices under enterprise service contracts. This policy applies specifically to all service provider engagements with defined contractual terms, including Data Migration Services, IT Professional Services, and Technology Services exceeding USD 500,000 in annual value.

The primary objectives of this policy are to:

- Ensure invoice accuracy and compliance with contractual terms
- Establish clear approval authorities and financial sign-offs
- Define role-based access and decision-making responsibilities
- Prevent duplicate payments and financial fraud
- Maintain audit trails for regulatory compliance and reporting
- Accelerate payment processing timelines while maintaining controls

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2. SCOPE & APPLICABILITY

2.1 Services Covered Under This Policy

This policy applies to invoices related to the following service categories:

- Enterprise Data Migration Services
- IT Professional Services (consulting, implementation, integration)
- Technology Services & Cloud Services
- Infrastructure & System Implementation Services
- Any service contract with value > USD 500,000 annually

2.2 Excluded Services

The following categories are excluded and may follow simplified reconciliation procedures:

- **Utility Bills (Electricity, Water, Telecom)** – Finance Manager approval NOT required
- Routine Maintenance Contracts < USD 50,000 annually
- Subscription Services & SaaS (if pre-authorized)
- Travel Reimbursements & Expense Reports
- Contractor/Vendor Payroll & Benefits

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3. CONTRACTUAL FRAMEWORK & GOVERNANCE

3.1 Payment Terms & Conditions

Standard Payment Terms: Net 30 days from invoice receipt (per MSA Section 5)

Late Payment Penalties: 1.5% monthly interest on overdue balances

Invoice Submission: By service provider within 10 business days of milestone completion

3.2 Invoice Validation Requirements

All invoices must comply with the following requirements before payment authorization:

- Must reference the Purchase Order (PO) number (e.g., PO-STC-IT-2024-0047)
- Must reference the applicable SOW (e.g., SOW-TCS-STC-DM-2024-001)
- Must reference the MSA number (e.g., MSA-TCS-STC-2024-001)
- Must identify the Milestone/Phase being billed (e.g., M1 – Discovery & Assessment)
- Must include detailed Service Codes (e.g., SVC-DM-001, SVC-DM-002)
- Amount must match the fixed-price line item in the SOW (no variation without Change Order)
- Must include invoice date, invoice number, and vendor tax identification
- Currency must be USD (unless otherwise specified in SOW)
- VAT @ 15% must be itemized separately per KSA regulations

3.3 Milestone-Based Payment Schedule

Payments are strictly milestone-based per the approved SOW. Service providers must submit milestone completion evidence (deliverables, acceptance sign-off) before invoicing.

For Data Migration Services:

Milestone	Service Code(s)	Fixed Amount (USD)
M1 – Discovery & Assessment	SVC-DM-001	$120,000
M2 – Architecture & Design	SVC-DM-002	$180,000
M3 – Pilot Migration	SVC-DM-003	$200,000
M4 – Full Production Migration	SVC-DM-004	$320,000
M5 – Stabilization & Hypercare	SVC-DM-005	$130,000

4. APPROVAL AUTHORITIES & SIGN-OFF REQUIREMENTS

4.1 Role-Based Approval Matrix

The following matrix defines approval authorities, conditions, and sign-off requirements based on contract value, service type, and financial thresholds.

Service Type / Contract Value	Project Manager / Requestor	Department Head	Finance Manager / Controller	CFO / Final Authority
IT Services & Data Migration > USD 500K	Submits Invoice with Milestone Proof	Approves Deliverables (Sign-off)	Validates Payment Terms & Amount	Final Authorization & Signature
IT Services > USD 100K, < USD 500K	Submits Invoice with Proof	Approves Deliverables	Approves Payment	No approval required
IT Services < USD 100K	Submits Invoice	Notes for record	Approves Payment	N/A
Utility Bills (any amount)	Submits Invoice	Validates usage (if required)	**NOT REQUIRED – Skip Finance Manager**	N/A
Maintenance/Support < USD 50K	Submits Invoice	Notes for record	Approves Payment	N/A
Professional Services > USD 500K	Submits Invoice with Deliverables	Technical Approval	Mandatory Review & Sign-off	Mandatory Signature
Cloud/SaaS Services	Submits Invoice	Validates subscription	Approves if pre-authorized	N/A unless new contract

4.2 Critical Approval Rules for IT Services (USD 500K+)

RULE 1: CFO MANDATORY SIGN-OFF

All IT service contracts and invoices exceeding USD 500,000 in annual value MUST be approved and signed by the Chief Financial Officer (CFO) or designated proxy. This applies to both initial contract approval and all milestone-based invoice payments. No payment shall be released without CFO signature on the Finance Approval Memo or Payment Authorization Form.

RULE 2: FINANCE MANAGER / CONTROLLER MANDATORY REVIEW

All IT service invoices > USD 100,000 must receive detailed review and approval by the Finance Manager or Finance Controller before submission to CFO. This review shall include:

- Validation that invoice amount matches SOW line item (no variation)
- Verification of PO/SOW/MSA reference numbers
- Confirmation of milestone completion evidence from Project Manager
- Verification of milestone acceptance sign-off by Department Head / QA Lead
- Review of VAT calculation and tax compliance (15% KSA VAT)
- Confirmation that invoice does not exceed Net 30 payment terms from original invoice date
- Check for duplicate invoices or duplicate line items

RULE 3: PROJECT MANAGER DELIVERABLE SIGN-OFF

The Project Manager (IT Project Manager or designated Requestor) MUST submit formal milestone completion evidence with each invoice, including:

- Completed Deliverable(s) or signed acceptance from QA Lead
- Deliverable Review Checklist with sign-off
- Milestone Acceptance Form signed by Department Head

- For Data Migration: QA acceptance, data reconciliation report, validation results

RULE 4: DEPARTMENT HEAD TECHNICAL APPROVAL

The Department Head (VP – Digital Transformation, IT Director, or equivalent) must review and approve the technical quality and completeness of deliverables BEFORE Finance Manager approval. This approval must be documented in writing (email, sign-off form, or system approval).

4.3 Simplified Approval Process for Utility Bills

⚠️ IMPORTANT: Finance Manager Approval NOT Required for Utility Bills

Utility bills (electricity, water, telecommunications) follow a simplified approval process regardless of amount:

1. **Submission:** Vendor submits utility bill with reference to service location/account
2. **Department Verification:** Department Head (Facilities, Operations) validates utility consumption (if required)
3. **Finance Processing:** Finance Team validates calculation and processes payment directly
4. **CFO Review:** Only required if bill exceeds budgeted amount by > 20% or involves dispute

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5. INVOICE RECONCILIATION PROCESS

5.1 Standard 5-Step Reconciliation Workflow

Step 1: Invoice Submission & Initial Validation

- Vendor submits invoice with all required documentation (PO, SOW, MSA references)
- Finance Team performs completeness check (all required fields present)

- Invoices missing critical information are REJECTED and returned to vendor
- **Timeline:** Completed within 2 business days of receipt

Step 2: Amount Verification Against SOW

- Finance Manager compares invoice amount against fixed-price line item in SOW
- Verify service code(s) match approved SOW line items
- Confirm currency is USD; VAT is itemized separately at 15%
- If variation exists: STOP and notify Project Manager; do not proceed without Change Order
- **Timeline:** Completed within 3 business days

Step 3: Milestone Completion Evidence Review

- Project Manager submits Milestone Completion Certificate with deliverables
- Department Head reviews and signs-off on deliverable quality/completeness
- For IT Services: QA Lead provides technical acceptance and validation reports
- Finance verifies sign-off dates are before or on invoice date
- **Timeline:** Completed within 5 business days

Step 4: Approval Sign-Offs (Based on Approval Matrix)

- **Finance Manager:** Reviews all reconciliation findings and approves payment eligibility
- **CFO:** Reviews and signs-off for contracts > USD 500K
- **Department Head:** May provide additional technical validation if needed
- All approvers document their sign-off with date and signature (physical or digital)
- **Timeline:** Completed within 7-10 business days

Step 5: Payment Authorization & Release

- Finance executes payment within Net 30 days from original invoice date
- Payment reference includes PO, SOW, Milestone, and Invoice number
- Payment confirmation and receipt filed in document management system
- Monthly reconciliation report generated for audit and management review
- **Timeline:** Payment released by Net 30 deadline

5.2 Duplicate Invoice Prevention

Finance Team must implement controls to prevent duplicate payments:

- Maintain centralized invoice log with invoice number, date, amount, and payment date
- Before payment release: Check if invoice number has been previously paid
- Flag any duplicate invoice numbers or same amount paid within 15 days
- For monthly recurring invoices: Verify invoice covers new period (not prior month re-submission)
- Cross-reference payment records with vendor portal to confirm no duplicate payment requests

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6. SPECIFIC APPROVAL CLAUSES BY CONTRACT TYPE

6.1 IT Services & Data Migration (> USD 500K) – CFO Clause

CFO APPROVAL MANDATORY CLAUSE

CONDITION: All invoices related to IT Professional Services, Data Migration, System Integration, or Cloud Services with annual contract value exceeding USD 500,000 require explicit written approval and signature from the Chief Financial Officer (CFO) or designated Financial Authority before payment authorization.

TRIGGER EVENTS for CFO Review:

- Any IT service milestone invoice > USD 100,000
- Contract total value > USD 500,000 (annual)
- First invoice under a new enterprise service contract
- Any variation from approved SOW/PO amount (even with Change Order)
- Any invoice with delayed delivery or dispute notification
- Quarterly reconciliation of all IT service payments > USD 100,000

6.2 Finance Manager Approval – Utility Bills Exemption Clause

UTILITY BILL EXEMPTION CLAUSE

CONDITION: Utility bills (electricity, water, telecommunications, internet services) do NOT require Finance Manager approval regardless of amount. These bills are considered routine operational expenses and follow a simplified processing path.

PROCESSING:

- Department Head (Facilities/Operations) validates utility bill authenticity and usage
- Finance Team calculates and verifies charges against rate schedules
- Payment is released within Net 30 days without Finance Manager sign-off
- CFO review is only required if bill exceeds budget allocation by > 20% or involves dispute
- Monthly utility bills are automatically approved if within normal variance (< 10% month-on-month)

6.3 IT Service Finance Manager Inclusion Clause

IT SERVICE FINANCE MANAGER MANDATORY CLAUSE

CONDITION: All invoices for IT services (including but not limited to professional services, data migration, cloud services, SaaS, software licenses > USD 50,000) must be reviewed and approved by the Finance Manager or Finance Controller before release to CFO or for payment processing.

MANDATORY REVIEW SCOPE:

- Line-by-line validation against approved SOW and PO
- Verification of milestone completion and acceptance evidence
- Calculation validation (no unauthorized additions or variance)
- Tax compliance check (VAT, withholding tax)
- Duplicate and fraud detection
- Contract and payment terms validation
- Budget code and GL account validation for proper account coding

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7. SPECIAL PROVISIONS & EXCEPTIONS

7.1 Change Order Processing

If invoice amount varies from SOW line item due to approved scope changes:

- Change Order must be approved and signed by both parties (STC and Service Provider)
- Change Order must reference original SOW/PO and new amount
- Finance Manager must validate Change Order signature authenticity
- CFO approval required if Change Order increases total contract value
- Invoice must reference Change Order number for proper reconciliation
- Payment released only after Change Order validation

7.2 Disputed Invoices

CONDITION: STC may withhold payment of disputed invoice amounts in accordance with

MSA Section 5:

- Dispute notification must be provided in writing within 10 business days of invoice receipt
- Finance Manager must document the specific reason for dispute (calculation error, non-delivery, etc.)
- Service Provider is notified of dispute and given 10 business days to respond/correct
- If Service Provider provides evidence resolving dispute: Invoice approved and paid
- If dispute remains unresolved: Matter escalated to Department Head and CFO for resolution
- Undisputed portion of invoice may be paid while disputed portion is withheld
- Late payment interest accrues only on undisputed amounts

7.3 Late Payment Processing

CONDITION: Late payment interest accrues at 1.5% per month on overdue balances per MSA Section 5:

- Invoice is due within Net 30 days of receipt date
- If payment not released by Net 30 deadline: Finance automatically calculates 1.5% interest
- Interest is added to next payment or credited to Service Provider account
- Finance Controller must provide written explanation for late payment > 15 days
- CFO must approve any payment delayed beyond Net 45 days
- Service Provider is notified of delay and expected payment date

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8.1 Documentation Requirements

All invoice reconciliation files must maintain the following documentation:

- Original invoice from vendor
- Purchase Order (PO) with all amendments and Change Orders
- SOW with line items, milestones, and deliverables
- MSA with governing terms and conditions
- Milestone Completion Certificate with deliverables
- Department Head & QA acceptance sign-off
- Finance Manager approval memo
- CFO authorization (if applicable)
- Payment authorization and release documentation
- Proof of payment (transaction receipt, bank statement)
- Monthly reconciliation reports

8.2 Record Retention & Archival

All invoice reconciliation records must be retained according to STC financial record retention policy:

- **Original invoices and supporting documentation:** 7 years (per Saudi Arabia tax regulations)
- **Payment authorizations and approvals:** 7 years
- **Dispute resolution documentation:** 7 years minimum
- **Audit trail and system logs:** 5 years minimum
- All records must be stored in centralized document management system with controlled access

8.3 Monthly Reconciliation & Reporting

Finance Team must generate monthly reconciliation reports including:

- Summary of all invoices received, validated, approved, and paid
- All payments by vendor, contract, and milestone
- Outstanding invoices and reasons for non-payment
- Any disputes or escalations
- Late payment analysis and corrective actions
- Duplicate payment checks and fraud alerts
- Variance analysis (budget vs. actual spending)

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9. ESCALATION PATH & CONTACTS

INVOICE DISPUTES OR APPROVAL DELAYS:

Escalation Level	Action & Timeline
Level 1: Finance Manager	Review invoice within 3 business days; notify requestor of issues
Level 2: Finance Controller	Review dispute within 5 business days; escalate to CFO if unresolved
Level 3: CFO	Final decision on disputed or high-value invoices within 7 business days
Level 4: Contract Manager	Engage Service Provider for resolution; negotiate Change Orders if needed

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Policy Owner: Chief Financial Officer (CFO)

Policy Administrator: Finance Manager / Controller

Last Reviewed: January 2024

Next Review Date: January 2025

Any amendments to this policy require written approval from the CFO. Changes affecting contract terms must also be communicated to relevant Service Providers and incorporated into new SOWs and Purchase Orders.

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